EQUITY RESEARCH · COMPANY DEEP DIVE

Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment

Large Cap (>$200B) · Report Date: October 12, 2026

Latest financials: Q3 FY2026 · Model data as of 2026-10-12

BUY

Composite · Valuation: BUY

Target $177.13 · +53.6% upside

Price $115.34

INVESTMENT HIGHLIGHTS

- **BUY** — blended target $177.13 (+53.6% vs $115.34); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	BUY	Blended PT $177.13	45%
FSA	Stable	Health +0.10 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +73%	15%
Composite	BUY	Score +0.61 · 75% confluence	—

Valuation + technical aligned bullish.

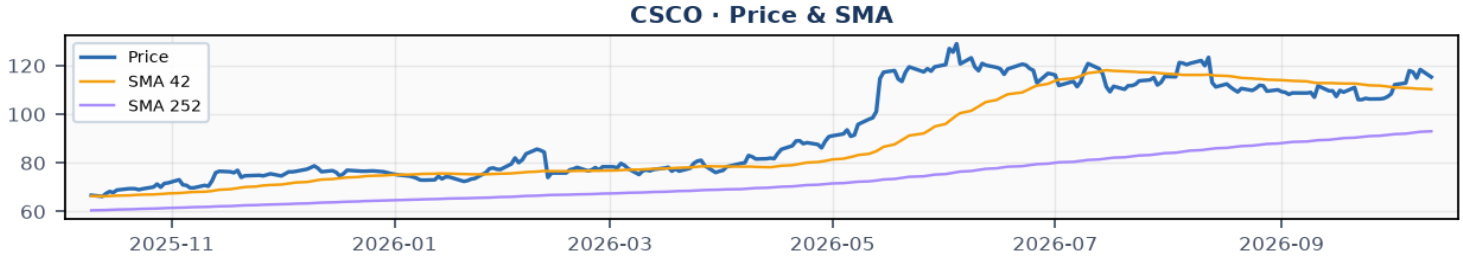
INVESTMENT THESIS / EXECUTIVE SUMMARY

Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies to power, help, secure, and draw insights from the internet in the Americas, Europe, the... **BUY** rating; blended target $177.13. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$454.74B	Shares Out.	3942.6M
52-Week Range	$66.81 – $130.37	P/E (TTM)	34.6x
P/B	9.1x	Beta	0.98
Avg Volume	19.21M	Analyst Rec.	Buy
Revenue (TTM)	$63.32B	Rev Growth	+17.6%
Op. Margin	27.7%	FCF (TTM)	$12.77B
Gross Margin	64.5%	ROE	27.3%
EV/EBITDA	25.9x	Debt/Equity	62.0%
EPS (TTM)	$3.33	Div Yield	1.4%

PRICE TREND · SMA 42 / 252



Page 2 of 2 · Cisco Systems, Inc. (CSCO) · Financials · Valuation · Peers · Q3 FY2026 · 2026-10-12

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue ($M)	56,654	63,325	74,470	84,203	92,539
Revenue Growth (%)	N/A	11.8%	17.6%	13.1%	9.9%
Net Income ($M)	10,180	13,267	15,602	17,641	19,387
Gross Margin (%)	64.9%	64.5%	64.5%	64.5%	64.5%
Net Margin (%)	18.0%	21.0%	21.0%	21.0%	21.0%
EPS ($)	2.58	3.37	3.96	4.47	4.92
P/E (x)	44.67	34.28	29.15	25.78	23.46

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$110.29	Short-term trend	**12m Momentum**	+72.9%	
SMA (252d)	$93.00	Long-term trend	**3m Momentum**	+3.6%	
RSI (14d)	71.1	Momentum oscillator	**Ann. Volatility**	26.1%	
Trend	Bullish		**Sharpe Ratio**	0.59	Rf=4%
Golden Cross (20d)	No		**Max Drawdown**	-36.7%	
Death Cross (20d)	No		**Rel. Strength vs SPY**	+51.0%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 71 — overbought zone	**Quant Score**	+0.50	POSITIVE
			SMA Backtest (ann.)	24.2%	B&H; 34.7%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$80.35	-30.3%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — Blended	$187.37	+62.4%	80%	Included in blend
Analyst consensus	$136.16	+18.1%	20%	Included in blend
Blended target	$177.13	+53.6%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
9.38%	4.00%	8.80%	$316.79B	$80.35	-30.3%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ANET	Arista Networks, Inc.	$265.97B	66.5x	56.0x	38.4%	+37.7%
MSI	Motorola Solutions, In	$73.86B	35.1x	21.9x	17.4%	+13.3%
JNPR	JNPR	N/A	N/A	N/A	N/A	N/A
CIEN	Ciena Corporation	$57.43B	90.6x	62.8x	10.9%	+37.0%
CSCO*	Cisco Systems, Inc.	$454.74B	34.6x	25.9x	21.0%	+17.6%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (17.6% YoY); High operating leverage (27.7% margin); Sector: Technology | Industry: Communication Equipment · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.